

SUBNE MAGAZINE

FUND LETTER · Issue 014, The Subnet Economy

Stillcore Capital · The first U.S. liquid venture fund for decentralized AI

“We believe decentralized AI is where decentralized finance was in 2016. Bitcoin decentralized money. Ethereum decentralized finance. Bittensor is decentralizing intelligence.”

2026-01-15 · filed by Stillcore Capital

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The First U.S. Liquid Venture Fund for Decentralized AI Confidential | 2026 | For Qualified Investors Only

Stillcore Capital: Decentralized AI Structurally undervalued. The most asymmetric opportunity across both AI and blockchain The Thesis: • We believe decentralized AI is where decentralized finance was in 2016 • Bitcoin decentralized money. Ethereum decentralized finance. Bittensor (TAO) is decentralizing intelligence

Why Now: • Open-source AI has reached near-parity with closed-source labs • The early 1990s internet parallel is playing out in real time: it appears AI is converging on an open-source substrate • We believe decentralized AI & Bittensor are at the convergence of two historic catalysts: a Bitcoin-style post-halving supply shock and an Ethereum-style “subnet ICO moment”

What Stillcore Does: • U.S. fund providing institutional-grade exposure to decentralized AI, with an initial focus on Bittensor (TAO) • We acquire and stake TAO, earn protocol yield, and invest in high-conviction AI subnets (decentralized AI startups) • No wallets, no custody, no staking for LPs

Why It Matters: • We believe this is the largest opportunity within both AI and blockchain globally • Bittensor is redefining blockchain itself, from coordinating money and finance to coordinating intelligence. We believe this has the potential to be the biggest story in crypto since Ethereum • A tiny fraction of the world grasps the significance of decentralized AI, producing generational information asymmetry • Every prior blockchain application coordinated money or speculation. Bittensor coordinates intelligence. We believe this is crypto's iPhone moment Confidential Material | Not For Distribution 2 Two Exponential Forces Are Converging Open-source AI nears parity with closed labs. Blockchain enables global trustless coordination. Bittensor unites both

AI is Advancing Exponentially Blockchain Solves Coordination at Scale Bittensor = Blockchain x AI Gold Standard

• Bitcoin proved global, trust-free value can be • Connects GPUs & AI developers from around • Open-source models are closing the gap secured by decentralized compute the world to innovate & produce open- with closed-source labs (OpenAI, Anthropic, source AI Google) • Ethereum proved anyone can deploy trust- • AGI forecasts are accelerating: 1-3 years. free, programmable logic (“smart contracts”) • Tens of thousands of participants from Intelligence as capable as a human remote major corporate labs & global machine • Bittensor proves decentralized networks can learning PhDs are all actively building in the employee train and reward collective AI Bittensor ecosystem` • The result? A global marketplace and internet of intelligence, that is just now reaching its inflection point

Confidential Material | Not For Distribution 3 Stillcore's Partners Founding partners bring complementary networks and expertise across AI, blockchain, and traditional capital markets

Rob Greer Mark Jeffrey Jason Calacanis • Serial entrepreneur with investment banking and • Former Founder & CEO of Guardian Circle (Newsweek • 300+ angel investments including Uber at \$5M private equity background Blockchain Impact Award '19) valuation, Robinhood, Calm, Superhuman, and DataStax • Former investment banking at BofA Merrill Lynch; PE • Co-founder of ZeroDegrees, acquired by IAC investor at Martis Capital • Host of This Week in Startups, one of the longest- • Early Bitcoin adopter (2013); Ethereum ICO investor at running tech podcasts globally • Architect of Stillcore's decentralized AI thesis and \$0.33; longtime advocate of open-source financial investment strategy systems • Founder of LAUNCH and the LAUNCH Accelerator (300+ startups supported) • Early Bittensor participant (2023); decentralized AI • Host of The Hash Rate, the largest Bittensor-dedicated thought leader on X (2024) podcast globally (150+ episodes)

Confidential Material | Not For Distribution Your Access Point to the Decentralized AI Revolution Four structural advantages no passive holder or generalist fund can replicate

1 2 Subnet Selection, Not Passive Exposure Proprietary Deals & OTC Discounts on Day One ▣ Actively manage positions across decentralized AI ▣ Deep relationships across the decentralized AI ecosystem, infrastructure & applications, staking, and ecosystem sourcing deals unavailable to outside investors opportunities ▣ 5 deals with founders, Private, over-the-counter (OTC) ▣ Continuous portfolio optimization through subnet selection, generally at ~35% discounts to market, generating value rotation, and real-time ecosystem intelligence accrual for LPs and our fund NAV on day one

3 4 Institutional DNA in a New Category Platform & Information Asymmetry ▣ Investment banking and PE backgrounds: risk management, ▣ Jason Calacanis (TWIST) and Mark Jeffrey (Hash Rate) provide reporting, and compliance from day one unmatched media reach, accelerating portfolio company adoption ▣ Hands-on operational support for portfolio companies: go-to- market, tokenomics, and growth strategy ▣ 99% of institutional investors have never heard of decentralized AI; by the time this is consensus, the window will have closed

Confidential Material | Not For Distribution 5 How We Generate Returns & Manage Risk Three sources of return, institutional risk management, and turnkey LP access

1 TAO: The 2 Subnet Alpha & 3 Turnkey Access Reserve Asset Decentralized AI Expansion for our LPs

- TAO is the native coordination asset for the
- Initial focus on Bittensor, the largest and most
- No wallets, no custody, no staking required entire Bittensor network mature decentralized AI ecosystem
- Institutional-grade reporting, compliance, and
- Every subnet must trade against TAO, creating
- Active selection of high-conviction AI subnets risk management from day one structural demand
- OTC deals generally at ~35% discounts to
- Open-end structure: new LPs enter at current
- Staking TAO generates protocol yield (~5-7%) market, generating NAV accretion on day one NAV at today's prices
- Provides foundational exposure to the
- Systematically expanding to capture alpha aggregate success of decentralized AI across the entire decentralized AI category as the space matures
- All positions maintain on-chain liquidity for active portfolio management

Risk Management

- No single subnet position exceeds a defined % of NAV
- TAO core allocation provides structural downside protection and built-in ecosystem diversification
- Portfolio actively rebalanced in response to volatility, liquidity conditions, and thesis evolution
- Drawdown management and concentration limits enforced across all positions

Confidential Material | Not For Distribution 6 TAO Is Where BTC & ETH Were Before Biggest Moves TAO is tracking the same early-stage trajectory as the two most valuable blockchain networks in history

Key Statistics Early-Stage Trajectory Why This Matters • TAO trades at a comparable market cap to 128 \$2bn today where BTC and ETH were at similar stages of Subnets Live 2026 market cap ecosystem development, but with significantly faster traction

Attracts more AI Developers

~2bn \$2bn More \$TAO Market Cap 2013 market cap Innovation More Subnets More Subnets

TAO Price & Emissions go up

20k Accounts (Q1 '23) \$2bn 450K Accounts (Q1 '26) 2016 market cap Compounding Network Effects

Source: Market Cap: CoinGecko, as of 3/6/26; Accounts: 450K accounts; taostats.io/accounts, as of 3/6/26

Confidential Material | Not For Distribution 7 History Rhymes: Post-Halving and Post-ICO Precedent TAO's first halving and its Ethereum ICO-style subnet moment may be converging in the same time window

Bitcoin: Post-First Halving (Nov 2012) Ethereum: Early Ecosystem to ICO Boom (Jan 2017)

TAO = Simultaneous Supply Shock (Halving) + Demand Shock (ICO Moment) Note: Historical comparisons are provided for illustrative purposes only and do not imply that TAO will follow similar price trajectories. Bitcoin and Ethereum operated in fundamentally different market conditions, regulatory environments, and adoption cycles. Past performance of other digital assets is not indicative of future TAO performance. These comparisons are not projections or forecasts.

Confidential Material | Not For Distribution 8 Where Global AI Builders and Agents Are Converging
Open-source AI captured ~50% of the market by offering near-parity quality at a fraction of the cost. Bittensor applies the same force to every AI vertical, while creating a network where AI agents are economic participants

The Precedent Why Bittensor Wins • Open-source models (Qwen, DeepSeek, Kimi) • Bittensor financially incentivizes tens of thousands of captured ~50% of the AI model market GPUs and developers (both human & AI) worldwide to build open-source AI in one place • The value proposition: 80–100% of the quality for

~10% of the price • Subnets offer the same value proposition: near-parity quality at a fraction of the cost and overhead • Result: permanent compression of the frontier model layer (OpenAI, Anthropic, Google) • Every subnet token requires TAO to purchase, creating structural buying pressure as the ecosystem • This same dynamic is now playing out at the expands application layer through Bittensor subnets • As subnets scale from 128 to 1000s, all market cap from that innovation accrues to TAO

We believe Bittensor is emerging as (1) the most attractive place in the world to start an AI company and (2) the most attractive place for AI agents to accumulate capital via mining and subnet creation

Confidential Material | Not For Distribution 15 The Mispricing of Decentralized vs. Centralized AI \$1.5 trillion in market cap across just three frontier AI labs. The entire decentralized AI category: \$15 billion

The 100x Valuation Gap: \$1.5tn Centralized AI vs \$15bn Decentralized AI \$840B

\$380B \$250B

~\$15B

Decentralized AI1

~56x larger than ~25x larger than ~17x larger than Decentralized AI Decentralized AI Decentralized AI

This comparison includes only three centralized frontier AI labs. The broader centralized AI startup ecosystem is dramatically larger and is the true apples-to-apples comparison Confidential Material | Not For Distribution 10 1Source: CoinGecko, as of 3/4/26 The Decentralized AI Valuation Gap Stillcore's portfolio companies are building comparable products to web 2 unicorns at a fraction of the market cap

Relative Market Cap / Valuation

Decentralized - TAO Subnets Centralized – Web 2 AI Startups

Ridges (SN62) | ~\$30M Cursor | ~\$30B | Valuation Gap: ~1,000x

Chutes (SN64) | ~\$80M CoreWeave (CRWV) | ~\$40B | Valuation Gap: ~500x

Hippius (SN75) | ~\$25M Dropbox (DBX) | ~\$8B | Valuation Gap: ~320x

Stillcore holds positions in all three subnets. These are real products competing with multi-billion dollar incumbents at a fraction of the cost and valuation

1Source: tao.app, as of 3/4/26 Confidential Material | Not For Distribution 11 Decentralized AI vs. Other Blockchain Categories Real utility and infrastructure remain structurally undervalued relative to speculative

categories

Market Cap (March 2026)¹

~\$300B Ethereum + DeFi

~\$35B Meme icons The 20x Valuation Gap: \$300bn DeFi vs. \$15bn DeAI ~\$20B Dog Coins

~\$15B Decentralized AI

0 50 100 150 200 250 300 350

We believe decentralized AI is as big an opportunity as decentralized finance (if not larger) Bittensor is a gold standard Blockchain x AI protocol ¹Source: CoinGecko, as of 3/4/26

Confidential Material | Not For Distribution ¹²Let's Discuss We believe the current market environment presents a generational opportunity to access the decentralized AI economy at deeply discounted valuations

Rob Greer General Partner and Co-CIO Email: rob@stillcorecapital.com Book a meeting: <https://calendly.com/rob-stillcorecapital/30min>

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